

Business remains strong and steady



Home First Finance Company (Home First) has reported a stable set of numbers for the quarter ended March 31, 2022. The company's performance in terms of margin and profitability were better than expected, though operating performance was adversely impacted by lower than anticipated other income and higher operating expenses.

- NII came in at INR 774 Mn, + 15.6% QoQ / + 51.6% YoY and 7% above our est.
- Net Income came in at INR 1,025 Mn, + 5.4% QoQ / + 24.4% YoY and 3% below our est.
- Opex came in at INR 366 Mn, + 13.9% QoQ / + 16.0% YoY and 3.4% above our est.
- PPOP came in at INR 659 Mn, + 1.2% QoQ / + 29.6% YoY and 7% below our est.
- Provisions came in at INR 27 Mn, -55.1% QoQ / -67.9% YoY and -69% below our est.
- Adjusted PAT came in at INR 482 Mn, + 4.9% QoQ / + 54.0% YoY and 4% above our est.
- EPS stood at INR 6.9 vs INR 5.3 / INR 3.7 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

We like Home First because of its Niche positioning, solid profitability and sustainable growth trajectory. Besides, its ability to leverage technology for better service delivery, funding availability with competitive cost of funds and investment by marquee private equity players (like True North, Warburg Pincus, Aether Mauritius and Bessemer India) adds to positivity. We believe that it offers an 'early stage' investment opportunity given strong growth momentum, focused strategy and high capitalization. We have already seen similar instances wherein such companies have delivered strong returns, the classic example being GRUH Finance – was trading at >10.7x FY19 P/BV for RoA of ~2.7% levels. Thus, we have assigned a 'Buy' rating on Home First with a price target of Rs 894, valuing the stock at 3.9x FY24E P/Adj BV.

Financial Summary

Y/E Mar (Rs Mn)	FY21	FY22	FY23E	FY24E
NII	1895	2622	3497	4578
PAT	1001	1693	2256	3013
Net worth	13805	15737	17993	21006
Adj BVPS	153	171	196	229
EPS (Rs)	11	19	26	34
P/ABV (x)	5.0	4.5	3.9	3.4
P/E (x)	67	40	30	22
RoA (%)	2.5	3.5	3.9	4.2
RoE (%)	8.7	11.5	13.4	15.5

Source: Dalal & Broacha Research, Company

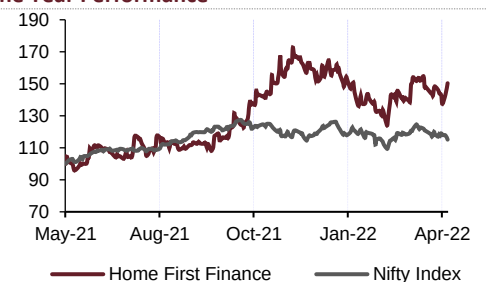
Rating	TP (Rs)	Up/Dn (%)
BUY	894	16

Market data

Current price	Rs	768
Market Cap (Rs.Bn)	(Rs Bn)	67
Market Cap (US\$ Mn)	(US\$ Mn)	880
Face Value	Rs	2
52 Weeks High/Low	Rs	921.3 / 481.1
Average Daily Volume	('000)	170
BSE Code		543259
Bloomberg		HOMEFIRS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoter	33.6	33.6
FII's	10.9	12.1
DII's	40.5	40.4
Others	15.0	13.9
Total	100.0	100.0

Source: Bloomberg

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Financial Highlights

- Asset quality improved during the quarter, with GNPA at 2.3% (vs 2.6% QoQ) & NNPA at 1.8% (vs 2% QoQ). Excluding RBI circular impact, GS3 assets have come down to 1.3% (vs 1.7% QoQ). Bounce rates have improved to 13.9% in Apr'22 from 14.5% in Q4 FY22 and 15.7% in Q3 FY22. DPD 1+ book of the company declined sharply from 6.5% to 5.3% QoQ. 30+ DPD improved to 3.7% vs 4.7% QoQ. Total restructuring was just at 0.65% of outstanding loans as of Mar'22.
- ECL provision as on Mar'22 is Rs 478 Mn; resulting in total provision to loans outstanding ratio at 1.1%; and the GNPA provision coverage ratio is at 47.1% in Mar'22 vs 46.2% in Dec'21 (PCR without considering the impact of RBI circular is 83.6% in Mar'22 vs 69.1% in Dec'21 and 74.4% in Mar'21).
- Home First's disbursement stood at Rs 6411 Mn, up by 41.9% YoY and 12.5% QoQ in Q4FY22. AUM was up by 29.9% YoY and 7.7% QoQ to Rs 53803 Mn in Q4FY22, mainly led by LAP segment (83.4% YoY/20% QoQ), followed by Loans for Commercial Property segment (37.7% YoY/ 11.3% QoQ) and Home Loan segment (27.7% YoY/ 6.9% QoQ). However, developer finance book declined by 13% QoQ to Rs 226 Mn.
- The company continues to focus on housing loans that contribute 91% of AUM and EWS / LIG category that forms ~75% of the customer base. We strongly believe that the company will continue with its strategy of focussing on the affordable housing financing segment and limit the share of non-HL products to < 15% in the near-medium term. Considering disbursement run rate of ~Rs 2.0 Bn a month, management is expecting an AUM growth of ~30%.
- The company has added 4 new physical branches added and business commenced in 3 new potential branch locations. Moreover, 6 new digital branches have been launched taking the total number of touchpoints to 200. As on Mar'22, the Company has 80 branches with presence in 13 States / UT.
- The company's cost to income ratio stood at 35.7% (267 bps QoQ), impacted by higher growth in opex by 14% QoQ vs lower net income (NII + other income) growth of 5% QoQ in Q3FY22. Furthermore, Opex to assets stood at 3%, vs 2.8% QoQ. This is in line with expectations. Management expects this ratio to remain ~3%-3.2% as the company focus on expansion and deeper presence in chosen states.
- Home First's NIM has expanded to 6.4% (vs 5.8% QoQ) mainly due to better spreads and further optimization of cash on the balance sheet. We strongly believe that overall impact of recent rate hike on the company's margin will be limited as most of its loans are on floating rates. Moreover, the company is moving into smaller towns, which will also help it in maintaining better spread.
- On digital initiatives, 80% of the company's customers are registered on its app as on Mar'22 compared to 76% in Dec'21. Payments received via the app have gone up by 82% YoY. Its 48-hour turn-around-time for loan approval improved to 92% from 90% in Q3FY22. The company also saw meaningful adoption of digital agreements signing (20% of total in 3M & 16% in 12M) and E-Stamping (65% and 41% of total in 3M & 12M).

Quarterly Financials

Rs Mn	Q4FY22	Q4FY21	Y-o-Y	Q3FY22	Q-o-Q
Interest income	1310	1045	25%	1215	8%
Interest expense	536	535	0%	545	-2%
Net interest income	774	511	52%	670	16%
Net gain on DA	138	182	-24%	176	-21%
Other Income	112	131	-15%	127	-11%
Net Income	1025	824	24%	973	5%
Employee expense	229	189	21%	201	14%
Other expense	137	126	8%	120	14%
PPOP	659	509	30%	651	1%
Provisions	27	83	-68%	60	-55%
PBT	632	425	49%	591	7%
Tax	150	112	34%	132	14%
One-time tax adjustment	-120	-	-	-	-
PAT	602	313	92%	459	31%
Adjusted PAT	482	313	54%	459	5%
Loan Book (Rs Mn)					
Disbursements	6411	4518	41.9%	5696	12.5%
Gross Loan Assets / AUM	53803	41411	29.9%	49940	7.7%
Assigned Assets	10252	7656	33.9%	9914	3.4%
Loans - Principal Outstanding	43515	33718	29.1%	40004	8.8%
AUM Mix (%)					
Housing Loan	48844	38259	27.7%	45700	6.9%
Loans for Commercial Property	520	378	37.7%	467	11.3%
Loans Against Property	4214	2297	83.4%	3512	20.0%
Developer Finance	226	478	-52.6%	262	-13.5%
Total	53803	41411	29.9%	49940	7.7%
Asset Quality (%)					
DPD 1+	5.3%	6.2%	-92 bps	6.5%	-122 bps
DPD 30+/POS	3.7%	4.1%	-49 bps	4.7%	-108 bps
Stage 3/ POS	2.3%	1.8%	49 bps	2.6%	-23 bps
Stage 3 (net)/net POS	1.8%	1.2%	57 bps	2.0%	-23 bps
PCR	47.1%	74.4%	-2733 bps	46.2%	84 bps
Yield, Cost of Funds & Spreads (%)					
Portfolio Yield (IGAAP)	12.8%	12.8%	-4 bps	12.8%	-3 bps
Cost of Borrowings (IGAAP)	7.2%	7.4%	-27 bps	7.2%	-1 bps
Spread	5.6%	5.4%	23 bps	5.6%	-2 bps
NIM	6.4%	4.8%	156 bps	5.8%	57 bps
Other Ratios (%)					
Cost-to-income	35.7%	38.3%	-257 bps	33.0%	267 bps
CRAR (%)	58.6%	56.2%	242 bps	59.0%	-37 bps
Return on assets	4.9%	2.9%	200 bps	4.0%	97 bps
Return on equity	15.6%	10.1%	549 bps	12.4%	325 bps

Source: Company, D&B Research

Financials

P&L (Rs Mn)	FY21	FY22	FY23	FY24
Interest income	4061	4770	6324	8432
Interest expense	2166	2148	2826	3855
NII	1895	2622	3497	4578
Non-interest income	830	1187	1402	1787
Net revenues	2726	3809	4899	6364
Operating expenses	1,064	1,296	1,627	2,034
PPOP	1662	2513	3272	4331
Provisions	322	250	255	303
PBT	1340	2263	3017	4028
Tax	339	402	760	1,015
PAT	1001	1861	2256	3013
Balance sheet	FY21	FY22	FY23	FY24
Share capital	175	175	175	175
Reserves & surplus	13631	15562	17818	20831
Net worth	13805	15737	17993	21006
Borrowings	30537	34668	44520	57408
Other liability	759	764	959	1201
Total liabilities	45101	51169	63472	79615
Fixed assets	167	200	249	297
Investments	3750	0	0	0
Loans	33265	43049	55301	70506
Cash	6799	6678	6566	7428
Other assets	1121	1242	1355	1385
Total assets	45101	51169	63472	79615

Ratios	FY21	FY22	FY23	FY24
Growth (%)				
NII	27	38	33	31
PPOP	36	51	30	32
PAT	29	86	21	34
Advances	10	29	28	27
Spread (%)				
Yield on Funds	12.8	12.5	12.9	13.4
Cost of Funds	7.8	6.6	7.1	7.6
Spread	5.0	5.9	5.7	5.8
NIM	4.4	4.8	5.1	5.3
Asset quality (%)				
Gross NPAs	1.8	2.3	2.1	1.8
Net NPAs	1.2	1.8	1.5	1.3
Provisions	36	25	26	27
Return ratios (%)				
RoE	8.7	12.6	13.4	15.5
RoA	2.5	3.9	3.9	4.2
Per share (Rs)				
EPS	11.5	21.2	25.7	34.4
BV	158	180	205	240
ABV	153	171	196	229
Valuation (x)				
P/E	67.1	36.2	29.8	22.4
P/BV	4.9	4.3	3.7	3.2
P/ABV	5.0	4.5	3.9	3.4

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